

Amendment No. 1 to SB2584

Bailey
Signature of Sponsor

AMEND Senate Bill No. 2584

House Bill No. 2047*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 67-6-102, is amended by deleting subsection (22) and substituting:

(22) "Data center" means a building or buildings, either newly constructed, expanded, acquired, or remodeled, that are located at one (1) site or multiple sites and that house high-tech computer systems and related equipment;

SECTION 2. Tennessee Code Annotated, Section 67-6-102(46), is amended by deleting subdivision (K) and substituting:

(K) "Industrial machinery" includes:

(i) Any "computer", "computer network", "computer software", or "computer system", as defined in § 39-14-601, including mobile data centers that consist of pre-fabricated structures, containers, or pods housing such items, and any peripheral devices, including hardware such as printers, plotters, external disc drives, modems, and telephone units, when such items are used in the operation of a qualified data center; and

(ii) Repair parts, repair or installation services, and warranty or service contracts, purchased for such items used in the operation of a qualified data center;

SECTION 3. Tennessee Code Annotated, Section 67-6-102(81), is amended by deleting subdivision (A) and substituting:

(A) "Qualified data center" means a data center that is in the best interests of the state that has made a required capital investment in excess of one hundred million dollars (\$100,000,000) during an investment period not to exceed three (3) years, and that creates at least fifteen (15) net new full-time employee jobs during the investment period, which jobs are located in this state, perform data center functions and services, and pay at least one hundred fifty percent (150%) of the state's average occupational wage as defined in § 67-4-2004. As used in this subdivision (81):

(i) "Best interests of the state" means a determination by the commissioner of finance and administration, the commissioner of economic and community development, and the commissioner of revenue, in their sole discretion, that the data center is a result of the industrial machinery exemption and credit provided in §§ 67-6-206 and 67-4-2009(3) and the benefits to this state outweigh the anticipated costs. In making the determination, the commissioners may consider the investment made, jobs created, impact to the community, and any other matters deemed appropriate by the commissioners;

(ii) "Full-time employee job" means a permanent, rather than seasonal or part-time, employment position held for at least twelve (12) consecutive months that requires at least thirty-seven and one-half (37.5) hours per week and includes minimum health care, as described in title 56, chapter 7, part 22. The three-year period for making the required capital investment provided for in this subdivision (81) may be extended by the commissioner of economic and community development for a reasonable period, not to exceed four (4) years, for good cause shown; and

(iii) "Good cause" means a determination by the commissioner of economic and community development that the capital investment is a result of the exemption for industrial machinery used by a qualified data center; and

(iv) "Required capital investment" means an increase of business investment in real property, tangible personal property, or computer software owned or leased in the state, valued in accordance with generally accepted accounting principles. A capital investment is deemed to have been made as of the date of payment or the date the taxpayer enters into a legally binding commitment or contract for purchase or construction; and

SECTION 4. Tennessee Code Annotated, Section 67-6-102(81)(B), is amended by deleting the language "data center that previously made the required capital investment required by subdivision (81)(A)" and substituting instead the language "data center that is in the best interests of the state, that previously made the required capital investment required by subdivision (81)(A),".

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it.